IMC424

Enlighten Us

Augmented Reality



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Agenda

01 AR in Shopper Marketing

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04 AR From Shopper Perspective

05 AR From Retailer Perspective

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Introduction



What is Augmented Reality in Shopper Marketing?

Augmented reality overlays **digital content onto the real world** — applied internally to improve operations and product performance, and externally to create immersive experiences for shoppers.

👁️

Sense

A camera or sensor reads the real world– your face, a room, a shelf, a package.

🧠

Understand

Software maps the space– identifying surfaces, depth, lighting, and anchor points.

✨

Overlay

Digital content– 3D models, labels, animations– is placed on top of the real view.

📱

Interact

The shopper sees it live on their phone, mirror, or headset– and can engage with it.

Introduction

Where It Lives in Retail Today

Global AR retail market (2024)

$19.9B

$64.6B by 2030

Global retailers using or testing AR

70%+

as of 2025

Shoppers who found AR helpful

98%

of those who tried it

Internal/operations

Used behind the scenes to improve efficiency,reduce costs, and sharpen product performance.

- Warehouse navigation & order picking
- Employee training simulations
- lanogram & shelf layout planning
- Store design visualization

External/consumer-facing

Shows up where shoppers are—in-store and digital—to drive engagement, confidence, and conversion.

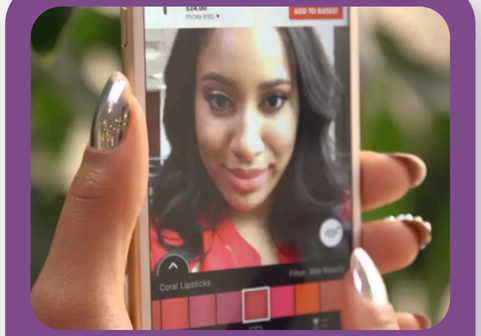
- Virtual try-on (beauty, fashion,eyewear)
- Product visualization in your space
- In-store ARmirrors &kiosks
- Interactive packaging & OOH campaigns



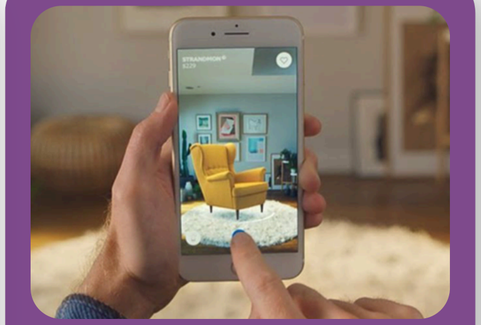
DHL — Warehouse Picking



Walmart — Associate Training



Sephora — Virtual Try-On



IKEA — Room Visualization

Sources: Shopify Retail Report; marketgrowthreports.com; brandxr.io 2025 AR Research Report

AR Across Path To Purchase

AR doesn't just show up at one touchpoint. It transforms the entire shopper journey from awareness to purchase.

Awareness

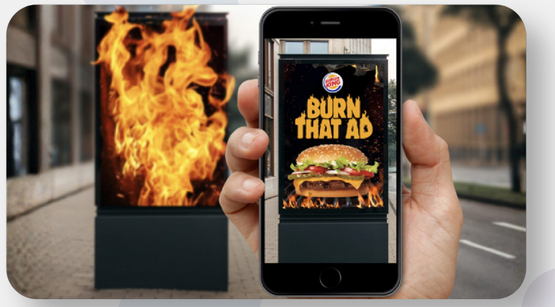
Application: AR ads, Social media AR filters
Impact: Increases brand discoverability, creates viral moments, makes advertising interactive

Consideration

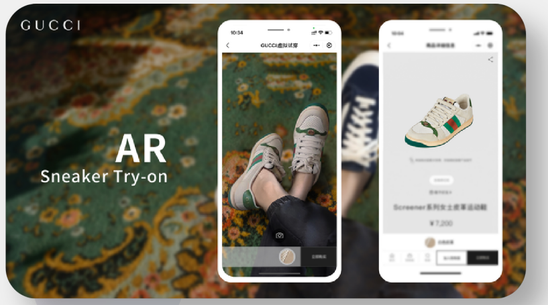
Application: Virtual try-on, product visualization
Impact: Reduces uncertainty, lowers barrier, helps shoppers evaluate fit without going to store

Purchase

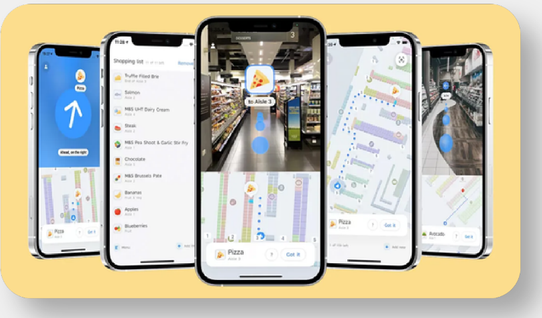
Application: In-store navigation, product information overlays, QR code experiences
Impact: Reduces time&friction, increases conversion, smoother in-store purchase experience



eg. Burger King "Burn That Ad" Campaign



eg. Gucci Snapchat AR Sneaker Try-On



eg. AR In-Store Navigation in retail places

Brand

AR From Brands' Perspective

Pokémon Go Opened the Door for AR Experience Leading by Brand

- It was one of the first AR experiences to really reach the mass market
- Players interacted with virtual Pokémon in real-world locations through their phones
- Its mass adoption showed that AR could engage consumers beyond gaming



Nowadays...

- Brands use AR to create immersive and interactive product experiences
- AR allows brands to actively solve shopper problems
- AR can improve marketing performance and drive real business results

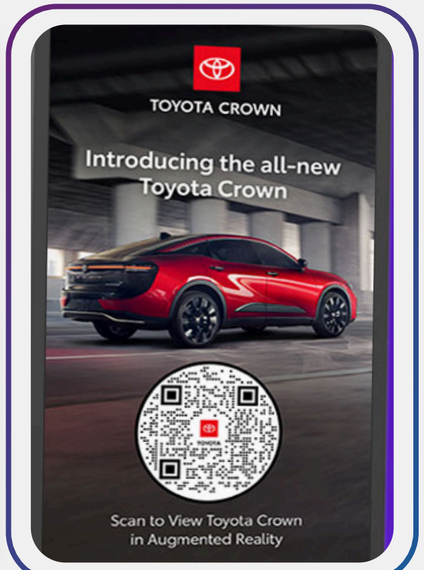
Brand

AR in Different Industries

Coca-Cola: Beverage

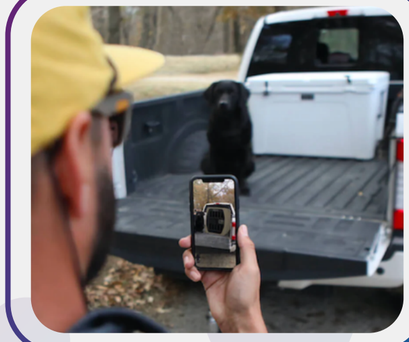
- Coca-Cola turned a **vending machine** into an AR brand experience with gesture-based interaction and branded merchandise try-on.
- **Result:** 90-second average interaction time and 40+ million media impressions.





Toyota Crown: Automotive

- Partnering with Yahoo, Toyota used AR to let shoppers **explore the Crown** in 360° and learn key features in their own driveway.
- **Result:** shopper interaction data to refine future targeting and product messaging.



Gunner Kennels: Pet

- Working with Shopify Plus, Gunner Kennels used AR to help shoppers better **judge kennel size** by virtually place it beside their dog.
- **Result:** cart conversion +3%, order conversion +40%, and return rate -5%

Shopper

AR From a Shopper's Perspective

The shopper problem: shoppers are not struggling to find products, they are struggling to **decide**

Key insight

The biggest barrier for a shopper is **"uncertainty"**



"Will this look good on me?"
Beauty & fashion

"Will this fit my space?"
Furniture & home

"Is this worth it?"
Price vs. outcome

Shopper

AR From a Shopper's Perspective

Instead of imagining, shoppers now can simulate.

Functional Value

- Virtual try-on: makeup, glasses, shoes...
- Product visualization: furniture, decor
- Real-time interaction: rotate, resize



Psychological Value

- Reduces perceived risk
- Increases confidence before buying
- Makes shopping enjoyble (gamification)

AR closes the gap between expectation and reality

Shopper

AR From a Shopper's Perspective



Behavioral Impact:

~70%
of consumers say AR helps them better understand products

~60%+
prefer retailers that offer AR experiences

~40%+
higher conversion rates reported with AR features

The shopper journey has transformed

Before AR

See product → Imagine → Hesitate → Maybe buy or leave

With AR

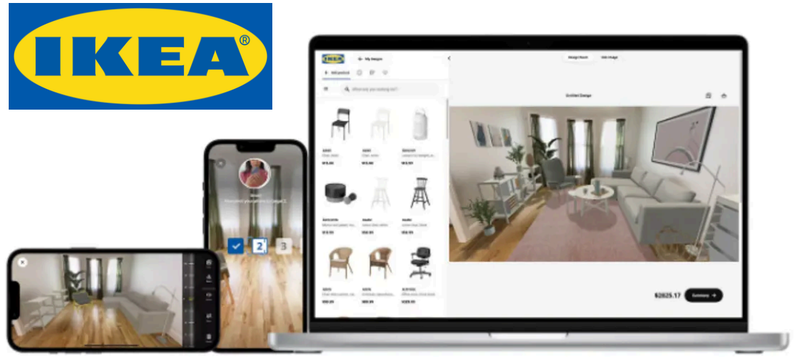
See product → Visualize/Try → Feel confident → Buy

AR removes the imagination burden from the shopper. It is a decision tool that reduces uncertainty & accelerates purchase.

Retailer

AR From a Retailer's Perspective

- **Reducing Returns:** AR solves the "Not as Described" issue
- **Conversion Rate:** AR boosts consumers' purchase intent by 17%
- **Virtual Shelf Space:** Retailers can display every color and size variant without needing physical inventory in the backroom



How brands eliminate the guessing game for shoppers?

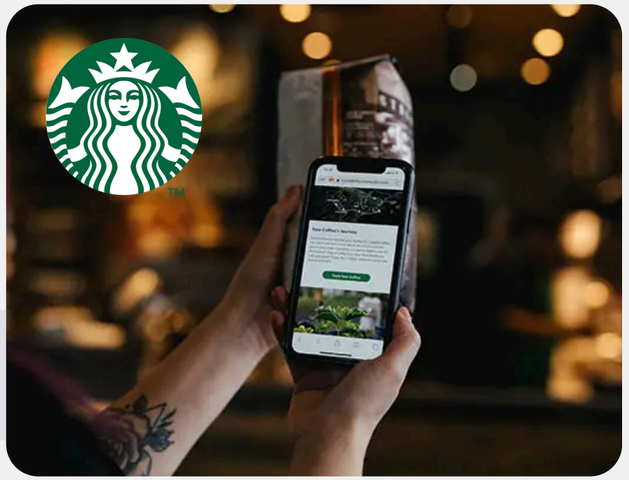
Retailer Innovation: Starbucks Interactive Packaging

QR code on the coffee bag→ Access the map of coffee bean origins (Origin Transparency)

→ Builds Trust

→ Justifies Premium Pricing

→ Differentiates Retail Experience





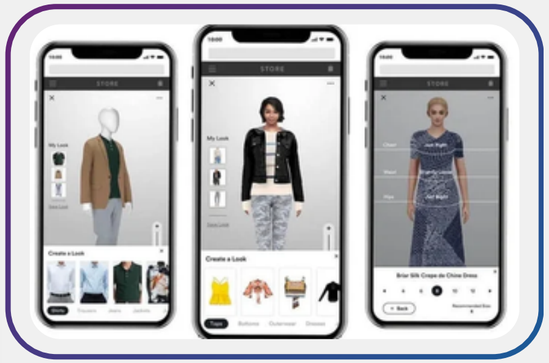
Implementation Realities

Retailer

The AR–AI Loop

- AI analyzes AR data to flag issues.
- By tracking virtual "try-on" duration and drop-off, retailers can detect overpricing or poor fiting.





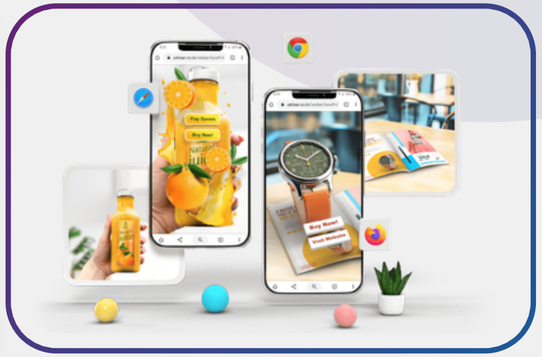
Task–Technology Fit

- AR creates value only when the technology aligns perfectly with the consumer's specific task.
- Accuracy builds the trust that drives purchase.

Targeting Shoppers

- Prioritize AR for "Expert" e-commerce shoppers and consumers with "open" personalities.





The Move to WebAR

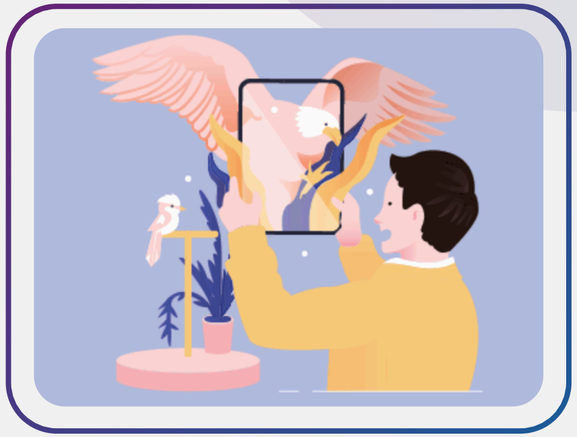
- The Strategic shift to Web-based AR to reduce the "app-download barrier."
- QR codes launch AR in mobile browsers, capturing shoppers at the moment of interest.

The Challenges & Future of AR



Barriers (Today)

- High development & implementation costs
- Limited consumer adoption & hardware dependency
- Privacy & data concerns (location, camera use)
- Technical limitations (accuracy, lag, battery)
- Lack of standardized platforms





What's Next (Future)

- Integration with AI for personalization
- AR glasses replacing smartphones (long-term)
- Seamless omnichannel retail experiences
- Social & shared AR environments
- More accessible tools → lower barriers for brands



Thank You!

Q&A



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